Course 5

Ch 2 FUNCTIONING / EU MACRO

« EBE » Step by Step

our objective…

Ch 1
CONTEXT
(History, Law, Trade)

Ch 2
FUNCTIONING
(ECO & EURO)

We are HERE !!!

Ch 3
POLICY
(EU Policies)

Ch 4
BUSINESSES
(Corporate & Consumers)

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Ch 1 : Context
History & Ideology
Institutions
Single Market, EU Trade & Global Europe

= Contexts

= Consequences

Ch 2 : Functioning

Macroeconomic Governance under EMU

Ch 3 : Policy
Ch 4 : Businesses

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Introduction Ch 2

Macroeconomic Governance under EMU

Reminder

- KEY concepts : Regulation versus Libelarization
- The invisible hand versus the State's empowerment

Why A EU governance ?

- Because we have the same currency

Monetary Union needs common pattern of economical development

Exchange Rate Mechanism

- Since US has left the Gold convertibility as per the Bretton Wood system in 1971 , the EU six founders have let floatting their currencies against the $ (no more fixed rates)
- Since then the EURO members have merged their currencies in a one single currency with the growing need to coordinates their economical policies

Balance of Payment & Exchange Rate

- The value of a currency is the mirror of balance of payment
- One component of balance og payment is the Trade deficit/surplus

Growing integration of EU

Started from a free trade zone

we are now navigating in a

Monetary Union governed by a pattern of

- Fiscal policy
- Debt policy
- Inflation fight

monitored by ECB/Commission

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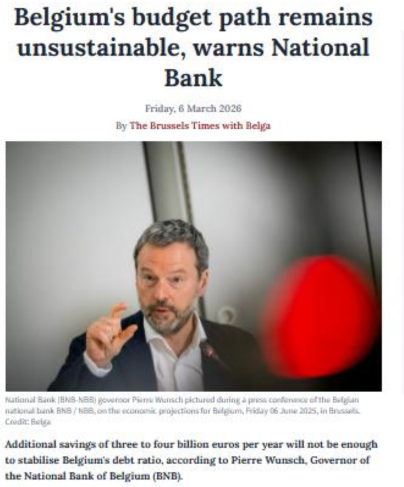

Belgium's budget path remains unsustainable, warns National Bank

Friday, 6 March 2026

By The Brussels Times with Belga

National Bank (BNB-NBB) governor Pierre Wunsch pictured during a press conference of the Belgian national bank BNB / NBB, on the economic projections for Belgium, Friday 06 June 2025, in Brussels. Credit: Belga

Additional savings of three to four billion euros per year will not be enough to stabilise Belgium's debt ratio, according to Pierre Wunsch, Governor of the National Bank of Belgium (BNB).

Macroeconomic Jargon

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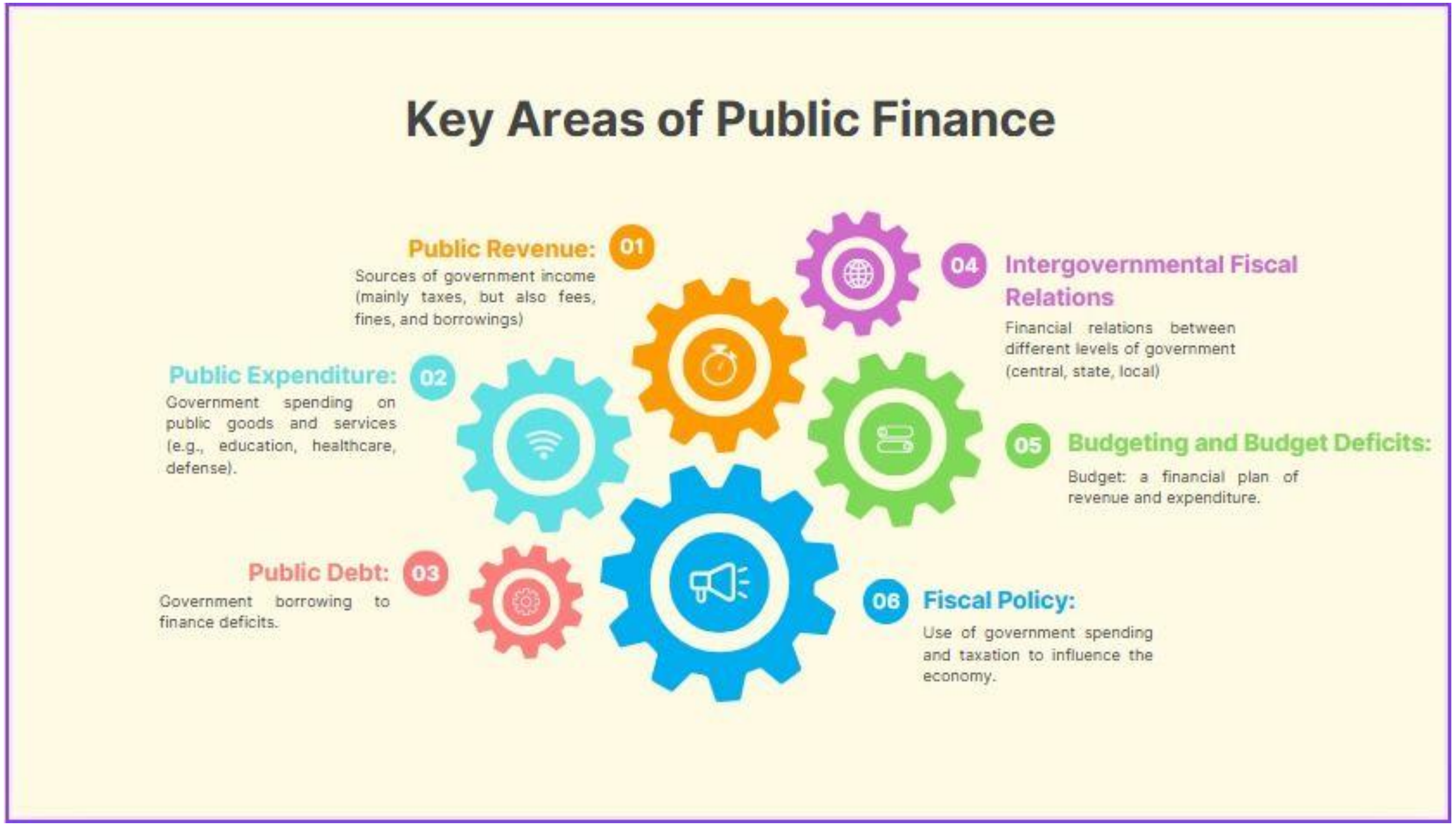

EU Governance: Definition & Aim

What is the economic governance framework?

The EU economic governance framework is the set of rules and procedures used by the EU to oversee and coordinate economic and fiscal policies across its Member States.

Economic Governance Framework

The European Union's economic governance framework aims to monitor, prevent, and correct problematic economic trends that could weaken national economies or negatively affect other EU countries.

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Go to…

European Commission

[Business, Economy, EURO](#)

EU Commission Official Website

EMU: Who is doing what ?

Economic governance under EMU

Within the EMU there is no single institution responsible for economic policy. Instead, the responsibility is divided between Member States and the EU institutions. The main actors in EMU are:

- The European Council – sets the main policy orientations
- The Council of the EU (the 'Council') – coordinates EU economic policy-making and decides whether a Member State may adopt the euro
- The 'Eurogroup' – coordinates policies of common interest for the euro-area Member States
- The Member States – set their national budgets within agreed limits for deficit and debt, and determine their own structural policies involving labour, pensions and capital markets
- The European Commission – monitors performance and compliance
- The European Central Bank (ECB) – sets monetary policy, with price stability as the primary objective and act as central supervisor of financial Institutions in the euro area
- The European Parliament - shares the job of formulating legislation with the Council, and subjects economic governance to democratic scrutiny in particular through the new Economic Dialogue

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European Council
Council of the European Union

About the institutions | Topics | Meetings | News and media | Documents and research

Home > Meetings > Eurogroup

Eurogroup

Eurogroup, 9 March 2026

Agenda highlights

In regular format

Macroeconomic developments in the euro area

Ministers will discuss economic developments and prospects for the euro area, building on insights from the European Commission and the European Central Bank (ECB).

Assessment of the Belgian draft budgetary plan for 2026

The Eurogroup is expected to adopt a statement on the Belgian draft budgetary plan for 2026.

Macroeconomic situation in Belgium…
Thank EU …?

Criteria of stability

- Government Gross Debt / Gross Domestic Product < 60 %
- Fiscal deficit < 3 % GDP
- Inflation rate < 1,5 % on top of the 3 Best EU performers but with a final aim to remain around 2 % pa

Stability and Growth Pact

The **Stability and Growth Pact** is a set of rules designed to ensure that EU Member States maintain sound public finances. At its core, the Stability and Growth Pact establishes criteria for debt and deficit levels to promote price stability and strong, sustainable and inclusive growth in the Economic and Monetary Union. Recent reforms have updated these rules to better take into account Member States' respective public debt and economic challenges.

Under the reformed Stability and Growth Pact, Member States are required to submit medium-term plans for managing their public finances. Each national plan sets out the country's multi-annual fiscal path and priority public investments and reforms, with the goal of reducing debt gradually while supporting sustainable and inclusive growth.

The implementation of these plans is monitored and assessed as part of the European Semester, ensuring alignment with the broader economic goals of the EU. The reforms also introduced a more effective corrective procedure for when countries deviate from the debt and deficit criteria. This so-called excessive deficit procedure requires countries to take corrective actions so that excessive fiscal imbalances don't keep accumulating.

EMU is designed by Stability and Growth Pact

The **EU economic governance framework** is the set of rules and procedures used by the EU to oversee and coordinate economic and fiscal policies across its Member States. Included in these rules are the Stability and Growth Pact for fiscal developments and the Macro-economic Imbalances Procedure for macro-economic developments.

The European Semester is the EU's framework for the coordination and surveillance of economic and social policies, and a core part of that is implementing the EU economic governance framework. It is an annual exercise where EU Member States align their budgetary and economic policies with the objectives and rules agreed upon at EU level.

Periodic Monitoring by EU: European semester

What is the European Semester?

The European Semester is an annual exercise that coordinates the EU's economic and social policies. During the Semester, EU Member States align their budgetary and economic policies with the objectives and rules agreed upon at EU level.

By achieving stronger economic and social coordination, the European Semester aims to ensure sustainable economic growth, job creation, macroeconomic stability and sound public finances across the EU.

The Semester timetable follows a recurring cycle, starting in autumn with the presentation of economic and social priorities by the European Commission. It concludes in October of the subsequent year when EU Member States submit their draft budgetary plans. Following this, the cycle starts over again.

Economical policy remains national but with common objectives in coordination with EU

Role of national governments

National governments control other economic policy areas. These include

- fiscal policy that concerns government budgets
- tax policies that determine how income is raised
- structural policies that determine pension systems, labour- and capital-market regulations

However, the EMU brings more economic integration, especially in the euro area. As a consequence, economic policy-making becomes a matter of common concern to all EU countries. To ensure the smooth operation of the EU economy as a whole, it is important that all countries coordinate their economic and fiscal policies with the common objective of stability and growth.

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3 Basic Concepts

Economics (= Science / Calculation)
Macroeconomic Indicators (= the reality)
Economic Policy (= Politics)

Indicators

Theoretical Background : Before determining a policy indicators help to understand better the situation

- ✓GDP Growth Rate
- ✓Inflation (Consumer Price Index)
- ✓Unmployment rate
- ✓Government gross debt / GDP
- ✓Fiscal Deficit
- ✓Trade deficit

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Some Macroeconomic Indicators & Relationships

(see also **EUROSTAT** Official Website)

Focus on following Belgium Macro Econmic parameters and compare with the EMU convergences criteria

- ✓ GDP Growth Rate
- ✓ Inflation (Consumer Price Index)
- ✓ Unmployment rate
- ✓ Government gross debt / GDP
- ✓ Fiscal Deficit
- ✓ Trade deficit

Comparison criteria of stability and actual numbers for belgium

Annual growth rates, %, unless specified	**2023**	**2024**	**2025**
Gross domestic product (GDP)	1.4	1.2	1.4
Unemployment rate (%)	5.5	5.8	5.7
Consumer price index	2.3	4.3	2.0
Current account balance (% of GDP)	-1.0	-0.1	-0.7
Government gross debt (% of GDP, Maastricht definition)	105.2	107.4	110.0

OECD summary for Belgium

- + Growth stable
- + Inflation under control (before ME crisis)

- - Level of public debt
- - Fiscal policy reform sill to be completed
- - Low employment rate of old people (55-64) and high number of vacancies not fulfilled

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Click on CTRL Definition for VIDEO

from : https://www.youtube.com/watch?v=pF2ulIIhvKw&t=24s

Theoretical Refresher : https://www.investopedia.com/terms/m/macroeconomics.asp

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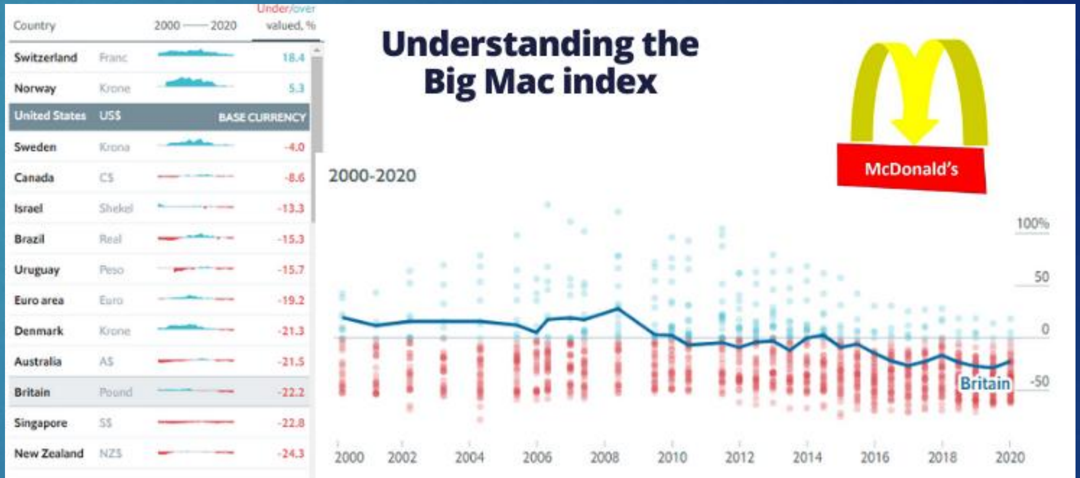

(from : https://www.youtube.com/watch?v=C_Y5BFiDrao 4:10)

Macroeconomic Policy

Macroeconomic Policy derives from Politics
(Market vs State/ Expansionary vs cooling down)
And is Is the art to manage (balance)
contradictory objectives like:

- Growth-friendly …but non-inflationary
- Low unemployment…. but wellpaid
- Price Stability…but low rates
- Positive Balance of Trade …but stable exchange rate

Logic behind the EMU…

Macroeconomic Policy (**National** Level)

Objectives

Short-Term
(Economic Cycle)

Long-Term
(Economic Structure)

Instruments

Fiscal Policy

Monetary Policy

(…)

Agriculture

Taxes

Spending

Interest

Money Supply

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Logic behind the EMU…

Macroeconomic Policy (**<u>European</u>** Level)

Objectives

- National
  - Short-Term
    - (Monetary Policy)
    - Fiscal Policy
  - Long-Term
- Supranational
  - Short-Term
    - Fiscal Policy
    - Monetary Policy
  - Long-Term

Instruments

« Shared » or Exclusive Competences

Macreconomic Governance EU Level

06/03/2026 14:45 | Meetings |

Agenda highlights - Eurogroup, 9 March 2026

The Eurogroup will discuss macroeconomic developments in the euro area and is expected to adopt a statement on the Belgian draft budgetary plan for 2026. Ministers will also exchange views on recent developments in digital finance, including tokenisation and stablecoins. They will further discuss energy prices and their implications for the euro area economy in the context of heightened geopolitical instability. Eurogroup President Pierrakakis will present the content of his customary letter to the Euro Summit President.

Breaking EU News

Macreconomic Governance EU Level

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Macroeconomic Workshop (Explanations)

Macroeconomics: Indicators Workshop

Topic: What is the economic situation in … (choose your EU country) ?

Give the main Key Indicators and Takeaways…(fill in p.47)

Instructions

- Refer to the Website *https://www.oecd.org/* and select country
- Read the Executive Summary preferably in teams

1 = Give some general info about the economic situation and some indicators
2 = Read and try to summarize the main interesting ideas
3 = Write down a summary « Facts & Figures »
4 = Focus on problems, crisis, risks, important factors or future challenges

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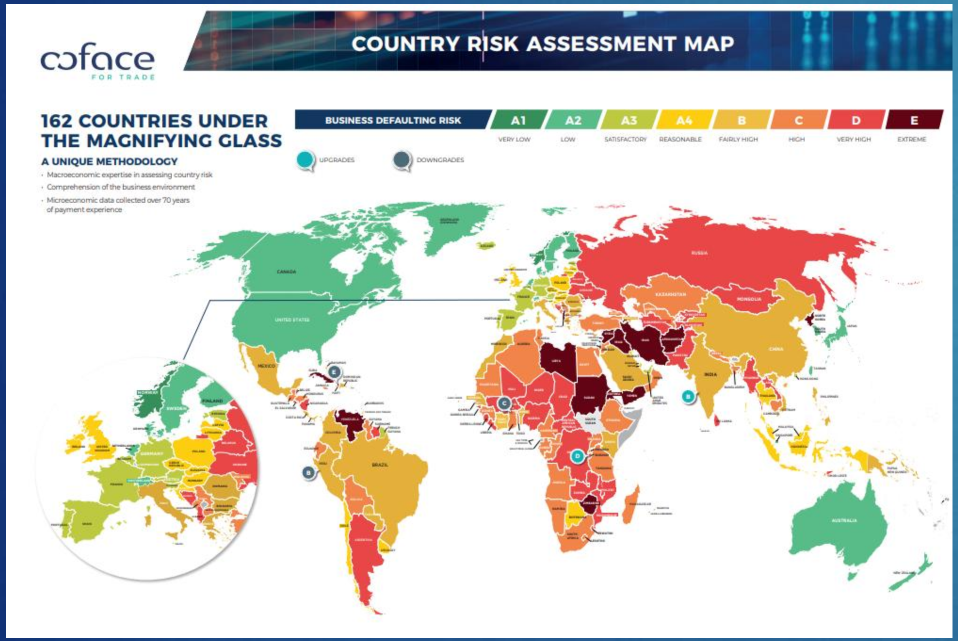
Useful for you as specialist in IB



From : https://www.coface-usa.com/Economic-studies

From : Accord de pêche Maroc-UE : On n'est pas concerné (maroc-diplomatique.net)

See Country Risk / PESTEL / CYPRUS - EU

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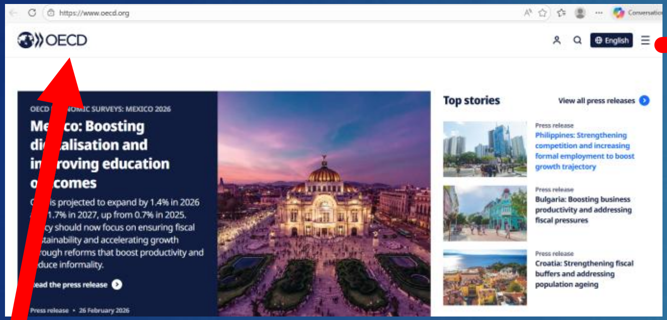
Workshop : EU Country Analysis type « *OECD* »



from : https://www.oecd.org/

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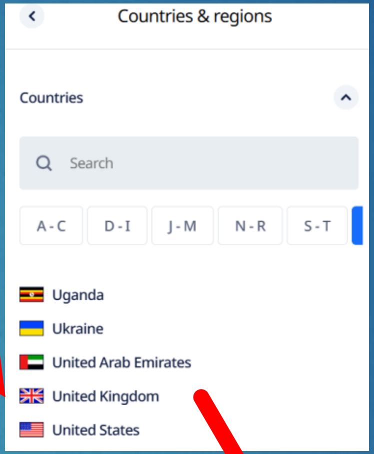

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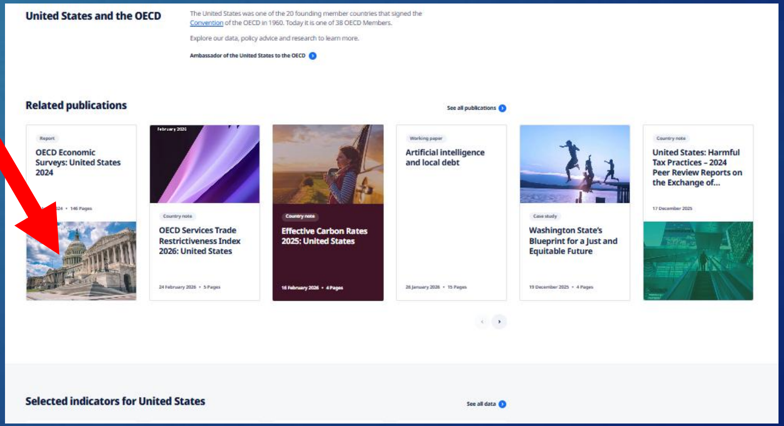

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Workshop : EU Country Analysis « *type* *OECD.org* »

Scan here
For 2025 Edition

Global Search Page | OECD

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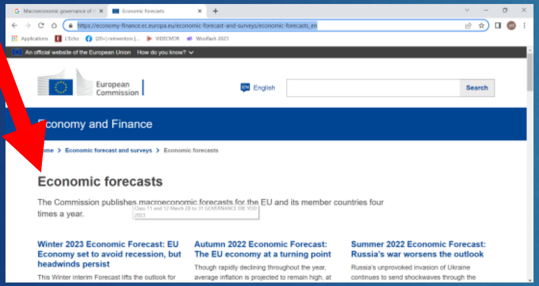
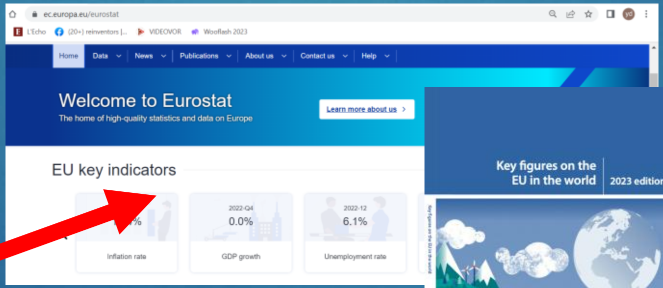
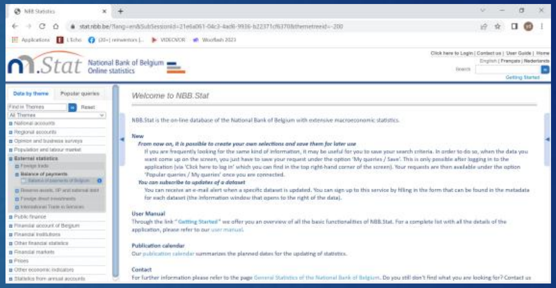
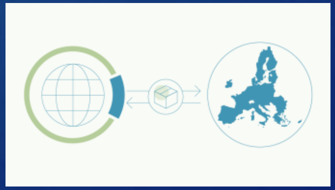
Workshop : or other References & Sources









Click on CTRL Picture for Official WEBLINK

France

	2022	2023	2024	2025
Real GDP	2.6	1.1	0.8	1.3
Private consumption	3.2	0.9	1.2	1.9
Govt consumption	2.6	0.8	0.4	0.4
Investment	0.1	0.7	-0.9	0.8
Exports	8.3	2.5	2.8	1.8
Imports	9.1	0.7	-0.2	1.7
Unemployment rate (% labour force)	7.3	7.3	7.6	7.7
Inflation (CPI)	5.9	5.7	2.3	2.0
Govt balance (% GDP)	-4.7	-5.4	-5.1	-4.3
Public debt (% GDP, Maastricht definition)	111.3	109.7	112.8	114.7

GERMANY

Table 1. Private consumption will lead the recovery

Annual growth rates, %, unless specified

	2023	2024	2025	2026
Real GDP	-0.1	-0.2	0.4	1.2
Private consumption	-0.2	0.2	0.9	1.0
Government consumption	-0.1	3.2	1.2	1.5
Investment	-0.7	-2.5	2.3	4.5
Exports of goods and services	0.2	-1.7	-0.3	0.6
Imports of goods and services	-0.3	-0.6	1.7	2.1
Unemployment rate (% of labour force)	3.0	3.4	3.6	3.5
Inflation (HCPI)	6.0	2.5	2.4	2.1
Government financial balance (% of GDP)	-2.5	-2.7	-2.7	-3.3
Government debt (Maastricht, % of GDP)	62.9	62.4	63.4	64.6